

BEFORE THE FEDERAL MARITIME COMMISSION

CHINA UNITED LINES, LTD,

Complainant,

v.

AMAZON.COM SERVICES LLC,

AMAZON LOGISTICS INC.,

and

BEIJING CENTURY JOYO COURIER SERVICE CO.,

LTD.,

Respondents.

DOCKET NO. 25-04

RESPONDENTS' MOTION TO DISMISS THE AMENDED COMPLAINT

Pursuant to Rules 12, 69, and 70 of the Commission's Rules of Procedure, 46 C.F.R. §§ 502.12, 502.69, and 502.70, Respondents Amazon.com Services LLC ("Amazon"), Amazon Logistics, Inc. ("ALI"), and Beijing Century Joyo Courier Service Co., Ltd. ("BCJ") file this motion to dismiss the Amended Complaint in its entirety. The Commission lacks jurisdiction over the claims set forth in the Amended Complaint and even if the Commission could exercise jurisdiction, Claimants fail to state claims.

As a threshold matter, the Commission is now the third forum in which Complainant China United Lines, Ltd, ("CUL") has advanced claims against Amazon, a shipper whose cargo it contracted to carry, for allegedly breaching its Contract with CUL.¹ Those prior actions, a breach

¹ "Contract" refers to the Main Transportation Agreement ("MTA") that CUL and Amazon entered into on April 7, 2022, incorporating a previously signed Non-disclosure Agreement (the "NDA"). A copy of the Contract is attached hereto as Attachment A, and the NDA is Attachment B. CUL and Amazon implemented the Contract in an April 29, 2022 "Work Order" that is attached hereto as Attachment C. The Work Order refers to CUL as "LSP" and refers to the Main Transportation Agreement as the "Master Transportation Agreement;" in both cases the different terms are equivalent. The Contract is a service contract under the Shipping Act. *See* 46 U.S.C. § 40102(21).

of contract action that CUL filed against Amazon in federal court over 16 months ago,² and a Request for Arbitration with CUL claiming the same with the Shanghai International Arbitration Center over six months ago,³ make clear that the essential dispute between the parties is contractual. The allegations in CUL's Amended Complaint to the Commission confirm that this action is fundamentally a breach of contract claim, which is outside of the Commission's statutory jurisdiction. *See pp. 4-5, 20-22, infra.*

CUL's impermissible attempt to bring a duplicative action before the Commission based fundamentally on a contractual dispute is not the only problem with CUL's Amended Complaint. Amazon is a shipper, and only one of the five claims in the Amended Complaint (Count I) is based on a provision of the Shipping Act that imposes any duties on shippers. That claim is deficient as a matter of law because a long and unbroken line of Commission and judicial precedent provides that the provision of the Shipping Act on which it is based, 46 U.S.C. § 41102(a), applies only to deceptive and concealed conduct in the nature of false billing, false classification, false measurement, and the like. *See pp. 7-9, infra.* The allegations here, by contrast, are entirely based on the provisions of a publicly filed contract and on the termination of that contract. As a matter of law, Count I does not state a claim. *See pp. 9-10, infra.*

Counts II, III, and IV of the Amended Complaint are based on provisions of the Shipping Act that apply only to common carriers and marine terminal operators, and thus do not and cannot apply to Amazon. In a transparent attempt to manufacture Shipping Act jurisdiction over its

² Complaint, *China United Lines, LTD, v. Amazon.com Services LLC*, No. 1:23CV10313 (S.D.N.Y., Nov. 24, 2023). A copy of the current complaint in that action is attached as Attachment D.

³ Request for Arbitration, *China United Lines, LTD v. Amazon Services LLC, and Beijing Century Joyo Courier Service Co. Ltd.*, SHIAC (Sept. 24, 2024). A copy of the Request is attached as Attachment E.

contractual dispute with Amazon, however, CUL purports to bring these claims against two Amazon affiliates, ALI and BCJ, who were identified as shippers affiliated with Amazon under CUL's Contract and Work Order with Amazon. ALI and BCJ were never parties to the Contract. They were merely two of the thirteen Amazon affiliates allowed to ship under it, and were assigned no duties to CUL under the contract. Although the Amended Complaint describes ALI and BCJ's legal status in general terms, and makes conclusory allegations intended to support CUL's claim that the entities violated the Act, the Amended Complaint makes no separate factual allegations as to the conduct of either ALI or BCJ but impermissibly lumps them together with Amazon throughout.

Moreover, while CUL purports to bring these claims against Amazon's affiliates on the basis that they are licensed non-vessel operating common carriers (NVOs), it nowhere alleges, nor could it, that ALI and BCJ were acting as NVOs with respect to CUL. That is because, again as a matter of law, NVOs act as shippers with respect to a carrier such as CUL, and the Contract makes clear that these parties were in fact acting as shippers with respect to CUL. *See* pp. 4-5, 11-14, *infra*; *see also Crowley Liner Services, Inc. v. Puerto Rico Ports Authority*, 2001 WL 1632555, FMC Docket No. 00-02 *21 (ALJ Sept. 20, 2001) (confirming the fundamental principle that NVOs act "as shippers vis-a-vis vessel-operating carriers and carriers vis-a-vis the cargo-owning shippers, who are their customers"). It is neither legally correct nor logically sensible to consider ALI and BCJ, who were identified as permissible shippers under the contract, to have undertaken the duties Amazon assumed as CUL's contractual counterparty, or to have been acting as carriers

with respect to CUL. Indeed, CUL did not name these parties at all in its court action, confirming that it has done so here only in an attempt to manufacture jurisdiction.⁴

Counts II, III, and IV would in any event fail to state a claim even if they were within the Commission's jurisdiction, which they are not. *See infra* pp. 14-22.

When CUL amended the Complaint by right, CUL added an entirely new claim premised on a Commission regulation that is inapplicable on its face and does not even assert a violation of any provision of the Shipping Act. Thus, even assuming that Count V could be construed in some way to apply to Amazon and its affiliates as shippers, it does not state a claim. *See infra* pp. 22-24.

The Amended Complaint should be dismissed in its entirety.

THE CONTRACT BETWEEN CUL AND AMAZON AND THE ALLEGATIONS OF THE AMENDED COMPLAINT

CUL alleges that it entered into the Contract with Amazon in April 2022, under which Amazon would tender cargo and CUL would carry it.⁵ In connection with the contract, CUL and Amazon also entered into a Non-Disclosure Agreement (NDA) and a Work Order.⁶ In Section

⁴ BCJ is named in the Arbitration Request, but the only allegation against it is that it owns a WeChat site, which does not involve any duties as a common carrier or violate the Shipping Act. *See* Attachment E, Arbitration Request, ¶ 4.

⁵ The Contract and incorporated NDA can be considered without converting this motion into one for summary disposition because CUL has “‘relied on the terms and effect of [the] document[s] in drafting the complaint’ and the documents are thus ‘integral to the complaint.’” *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, Dkt. No. 13-07, 2014 WL 5316345, at *12 (ALJ April 17, 2014) (citing and quoting *Davis v. HSBC Bank*, 691 F.3d 1152, 1160 (9th Cir. 2012)). The contractual terms are heavily cited and relied upon throughout the amended complaint. *See, e.g.*, Amended Compl. ¶¶ 20, 22, 32, 60.

⁶ The NDA and Work Order can also be considered without converting this motion into one for summary disposition for the reasons stated in footnote five.

7(2) of the contract, CUL agreed it would not use Amazon's trade name, trademark, service mark, logo, commercial symbol, or any other proprietary rights without Amazon's prior written consent.

All of these agreements were entered into between CUL as the carrier and Amazon as a shipper. ALI and BCJ, the other two entities named in the complaint, were not party to any of the three agreements identified above. The Work Order defines the shipper as "Amazon and/or the affiliates of Amazon identified in Schedule 3." *See* Attach. C, Work Order, Section 2(1)(a). The Contract and Work Order identify thirteen other "Shippers" in schedule 3 of the Work Order as "affiliates of Amazon" who "may secure services under this Work Order," including ALI and BCJ. *See* Attach. C, Work Order, Schedule 3, Sections 9(a)(iii) and (x); 9(b)(i) and (ii). Of the thirteen affiliate shippers named in the Work Order, CUL names only ALI and BCJ in its Amended Complaint.

All of the services prescribed under the Work Order are provided to "shippers." According to the Work Order, "a shipper may tender cargo, either directly or through its agents or suppliers, as a beneficial cargo owner ("BOC") or non-vessel operating common carrier ("NVO") as set forth in Schedule 3." *See* Attach. C, Work Order, Section 2(1)(a). ALI and BCJ are noted to be NVOs only as part of a representation that they are in fact NVOs (and thus allowed to ship under the contract). *See* Attach. C, Work Order, Schedule 3, Section 9(b)(i) and (ii). The Contract is consistent with the Work Order, identifying each Amazon entity as "the shipper" whether it is the cargo owner or an NVO. *See* Attach. A, Contract, Service Addendum, Section 1(2)(a). *See also id.* at 1(1) (defining "Amazon" as "Amazon.com Services LLC or any of its affiliates that receive Services"), and 2 (defining "Services" as the services provided under the Work Order).

On April 1, 2023, Amazon served CUL a 90-day notice of its election to terminate the Work Order for convenience. *See* Amended Compl. ¶ 25. A termination for convenience triggered

the liquidated damages provided for under the Work Order. *See id.* ¶ 26. During the 90-day notice period, Amazon separately discovered CUL’s breaches of Section 7(2) of the MTA. *See id.* ¶ 32. A violation of Section 7(2) of the MTA warrants immediate termination and no payment of liquidated damages. *See Attach. A, Contract, Section 5(3).* So, on June 7, 2023, Amazon issued a superseding notice to CUL immediately terminating the MTA for cause. *See Amended Compl.* ¶ 31.

The Amended Complaint thus makes clear that the dispute between CUL and Amazon is over Amazon’s termination of the contract. CUL understood this, as it demonstrated by filing a breach of contract action in federal court and then noticing a contractual arbitration in Shanghai. CUL’s belated attempt to dress up its contractual claims as alleged Shipping Act violations serves no proper purpose other than to waste the Commission’s and the parties’ time and resources litigating a duplicative dispute. The Amended Complaint should be dismissed.

ARGUMENT

I. THE MOTION TO DISMISS STANDARD

Although the Commission’s Rules do not expressly authorize motions to dismiss, Commission Rule 12 states that in instances not covered by the Commission’s Rules, the Federal Rules of Civil Procedure will be followed to the extent their application is consistent with sound administrative practice. 46 C.F.R. § 502.12. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Dkt. No. 16-16, 2020 WL 13512925, at *4 (FMC Oct. 29, 2020); *see also Marine Transport Logistics, Inc. v. CMA-CGM (America) LLC*, Dkt. No. 18-07, 2019 WL 5206007 (FMC Dkt. No. 18-07), at *2-3 (ALJ Oct. 8, 2019) (noting that a party may

raise a lack of subject matter jurisdiction under Rule 12(b)(1) and failure to state a claim under Rule 12(b)(6) and following the standards under the federal rules for each).

A motion to dismiss tests the legal sufficiency of a complaint, and a complaint must be dismissed where it fails to state a claim as a matter of law. *See Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007); CHARLES ALAN WRIGHT & ARTHUR R. MILLER, *FEDERAL PRACTICE AND PROCEDURE* § 1349 (3d ed. 2002)(collecting cases). “[A] court must grant a motion to dismiss if it lacks subject-matter jurisdiction to hear a claim.” *In re Schering Plough Corp. Intron/Temodar Consumer Class Action*, 678 F.3d 235, 243 (3d Cir. 2012). Interpretation of statutes is also a matter of law, and a court or agency must apply the “best reading” of a statute and not merely a “permissible” one. *Loper Bright Enterprises v. Raimondo*, 144 S. Ct. 2244, 2261, 2266 (2024). The adjudicator need not accept as true “a legal conclusion couched as a factual allegation,” or an inference unsupported by the facts set forth in the complaint. *Trudeau v. Fed. Trade Comm’n*, 456 F.3d 178, 193 (D.C. Cir. 2006) (quoting *Papasan v. Allain*, 478 U.S. 265, 286 (1986)).

II. COUNT I DOES NOT STATE A CLAIM BECAUSE IT DOES NOT ALLEGE THE REQUIRED ELEMENT OF FALSIFICATION, DECEPTION, FRAUD, OR CONCEALMENT

Count I of the Amended Complaint alleges that each Respondent violated 46 U.S.C. § 41102(a) by “Obtaining Transportation at Less Than Applicable Rates by Pretextual Actions.” 46 U.S.C. § 41102(a) prohibits any “person” from “knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means” from “obtain[ing] or attempt[ing] to obtain ocean transportation for property at less than the rates or charges that would otherwise

apply.”⁷ CUL alleges that Amazon’s actions in terminating the Contract for cause after first terminating it for convenience, and after operating under its terms for a year without any breach asserted by CUL for that time, constitute an “unjust or unfair device or means.” See Amended Compl. ¶¶ 38, 42-44, 46.

CUL’s application of Section 41102(a) is improper. Section 41102(a) and the similar provision now codified at section 41104(a)(1) that applies only to common carriers “are aimed at protecting competing shippers and carriers from shippers who attempt to obtain (or succeed in obtaining) transportation at reduced rates through devices or representations involving fraud, falsehood, or concealment.” *Pacific Far East Lines - Alleged Rebates to Foremost Dairies, Inc., Connell Brothers Co., Ltd., & Advance Mill Supply Corp.*, 10 S.R.R. 1, 6 (FMC 1968), *aff’d*, 410 F.2d 257 (D.C. Cir. 1969). In *Pacific Far East Lines* the Commission held that the catchall words “other unjust or unfair device or means” in section 41102(a) and section 41104(a)(1) must have a “restrictive meaning derived from their proximity to the words false billing, etc.” 10 S.R.R. at 8.

The Commission explained that

The “essential element of proof” to which [*Philippine Merchants Steamship Co., Inc. v. Cargill, Inc.*, 9 FMC 155, 165 (1965)] is addressed is the “unfair device or means.” These words have a restrictive meaning derived from their proximity to the words “false billing,” etc. used in both the introductory paragraph to Section 16 and Section 16 second. Applying the principles of *ejusdem generis*, the Commission and the courts have uniformly held that the act forbidden must be similar to those specifically proscribed in order to be an “unjust or unfair device or means.” In other words, the **“unjust or unfair device or means” must partake of some element of falsification, deception, fraud, or concealment, in order to satisfy the legal requirements of those subsections.**

⁷ Prior to the current codification, section 41102(a) was section 10(a)(1) of the Shipping Act of 1984, and the first paragraph of section 16 of the Shipping Act, 1916, 46 USCA § 815. The provision has been materially identical at all times for purposes of this motion and, thus, precedent under the prior versions remains applicable.

Id. (emphasis added, citing *Hohenberg Bros. Co. v. Federal Maritime Commission*, 316 F.2d 381 (D.C. Cir. 1963); *United States v. Hanley*, 71 F. 672 (N.D. Ill. 1896); *Armour Packing Co. v. United States*, 153 F. 1 (8th Cir. 1907), *aff'd*, 209 US 56 (1908); *Prince Line, Ltd. v. American Paper Exports, Inc.*, 55 F.2d 1053 (2d. Cir. 1932); and *Ambler v. Bloedel Donovan Lumber Mills*, 68 F2d 268 (9th Cir. 1933)).

Citing *Philippine Merchants*, the Commission noted that where a practice is “open and above-board,” it cannot be a violation of the prohibitions. *Id.* The Commission further cited and relied on *Prince Line v. American Paper Exports*, which held that the provision does “not forbid all concessions to a shipper; apparently it assumed that if these were above board, and known or ascertainable by competitors, the resulting jealousies and pressure upon the carrier would be corrective enough,” and thus required some concealment from the company’s competitors. 55 F.2d at 1055.

The *Pacific Far East Lines* decision follows the canon of statutory construction known as *ejusdem generis* (of the same kind or class) “which limits general terms that follow specific ones to matters similar to those specified.” *CSX Transp., Inc. v. Ala. Dep’t of Rev.*, 562 U.S. 277, 294 (2011) (cleaned up). It also follows a long line of judicial precedent, much of it cited in the decision itself, that “any other unjust or unfair device or means” refers to practice akin to the deceptive and fraudulent practices such as false billing, false classification, false weighing, or false measurement listed in the statute. See *Hohenberg*, 316 F.2d at 384 (claim for false classification where respondent admitted he knew of the false classification but “hoped they would be cleared before the inspector caught up to the shipment”).⁸

⁸ The legislative history of the provision further supports this result. “Counsel tells us that the words “or other devise or means,” mean things of a similar character. It is just possible that the lay mind, not knowing that, felt that it should be qualified to some extent” . . . Regarding specific

Courts and the Commission have continued to follow this rule since the *Pacific Far East Lines* decision. *See, e.g., U.S. v. Open Bulk Carriers*, 727 F.2d, 1061, 1064 (11th Cir. 1984) (“It is undisputed that fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means”); *OC Int’l Freight, Inc.*, FMC Dkt. No. 12-01, 2014 WL 5316336 14, at *4-6 (NVO and shipper provided confidential service contract rates to a foreign entity they knew to be unlicensed and not eligible for the rates); *Rose Int’l, Inc. v. Overseas Moving Network, Int’l*, Dkt. No. 96-05, 2001 WL 865708, at *46, *58 (FMC 2001) (requiring a showing of fraud or concealment, citing *Open Bulk Carriers*). *See also Atl. City Elec. Co. v. FERC*, 295 F.3d 1, 12 (D.C. Cir. 2002) (“words grouped in a list should be given a related meaning,” so that the words “otherwise dispose” should be interpreted similarly to the terms “sell” and “lease” in section 203 of the Federal Power Act).

Amazon terminated a contract under its terms, and did not get carriage at below tariff rates though dishonest or concealed means. The Contract has been open and known to both parties at all times. Amazon has made its position known and clear to CUL in negotiations between the parties. Indeed, even CUL does not allege that Amazon’s conduct involves falsification, deception, fraud, or concealment; it argues instead that it is “pretextual” because Amazon itself had disclosed information about the contract. *See* Amended Compl. ¶¶ 43-44. Of course, the prohibition on trading on Amazon’s name applies necessarily only to CUL and not Amazon, but in any event an allegedly pretextual contract termination bears no resemblance to “false billing, false classification, false weighing, false report of weight, [or] false measurement” which are the “unjust

instances of fraud the section is intended to guard against, Mr. Walsh testified of a lumber exporter that has been furnishing the carriers with spurious railroad bills that were used to assess charges—an example of false billing the amendment is aimed at.” Hearings re False Billing – Committee on Merchant Marine and Fisheries – 74th Cong. 2d sess. at 5.

or unfair device[s] or means” identified in the statute. Basic principles of statutory construction, confirmed by abundant Commission and judicial precedent, preclude using the catchall words to expand these specifically prohibited devices or means so far afield to allegedly pretextual contractual breaches.

III. CUL’S ATTEMPT IN COUNTS II, III AND IV TO STATE CLAIMS ONLY AGAINST TWO AFFILIATES OF AMAZON, ALI AND BCJ, AS NVOS FAILS ON MULTIPLE GROUNDS

Unlike Count I, which applies a prohibition to any “person,” including a shipper, Counts II, III, and IV of the Amended Complaint apply only to common carriers, marine terminal operators, and in one case ocean transportation intermediaries, a category that as relevant here includes NVOs. The Amended Complaint does not allege that any of the respondents are marine terminal operators, and does not allege that Amazon, the party that allegedly terminated its Contract with CUL under “pretext,” is a common carrier. CUL attempts to sidestep this jurisdictional limitation on the claims it advances in Counts II-IV by bringing them not against Amazon itself, but against two of its affiliates who were authorized to ship under the contract. It makes no allegations specific to these two affiliates other than that they hold NVO licenses and were allowed to ship under the Contract and Work Order. CUL’s attempt to circumvent the jurisdictional limitations on these claims fails on every level.

A. ALI and BCJ could not violate Counts II, III, or IV because they were acting as shippers, not NVOs, with respect to CUL and the conduct that CUL challenges, and the claims are thus outside the Commission’s jurisdiction.

Even if the Amended Complaint contained allegations sufficient to support the claims against ALI and BCJ in Counts II, III, and IV, it does not, these counts would still be subject to dismissal because the Contract and Work Order make clear that all of the Amazon entities, including those able to act as NVOs, were acting as shippers not carriers under the Contract and

work order. Count II is brought against ALI and BCJ, but not Amazon, based on the allegation that they are NVOs who violated 46 U.S.C. § 41102(c). *See* Amended Compl. at 12 (“Failure by Non-Vessel Operating Common Carriers to Establish and Observe Reasonable Practices Regarding Receiving, Handling, Storing or Delivering Property”). Count III alleges a violation of 46 U.S.C. § 41104(a)(1), which is one of a series of prohibitions in § 41104(a) that apply only to a “common carrier, either alone or in conjunction with any other person,” and contains a prohibition materially identical to the prohibition at issue in Count I. Count IV alleges a violation of 46 U.S.C. § 41104(a)(2), another in that series that applies only to a common carrier.

NVOs “occupy a peculiar position in the shipping industry acting both as shippers vis-a-vis vessel-operating carriers and carriers vis-a-vis the cargo-owning shippers, who are their customers.” *Crowley Liner Services*, 2001 WL 1632555, at *21. The Commission’s regulations confirm that an NVO is “a common carrier that does not operate the vessels by which the ocean transportation is provided, **and is a shipper in its relationship with an ocean common carrier.**” 46 C.F.R. § 512.2(m)(1) (emphasis added). CUL is an ocean common carrier. Amend Compl. ¶ 2. ALI and BCJ were thus shippers, not common carriers, in their relationship with CUL. Indeed, they had no direct relationship with CUL at all; CUL’s Contract was with Amazon, a shipper that is not an NVO for any purpose.

To state a claim, CUL must allege that ALI and BCJ were acting as NVOs “for the shipments at issue.” *Peloton Interactive, Inc. v. Flexport International LLC*, Dkt. No. 24-19, (ALJ Jan. 29, 2025). It has not and cannot do so, as the Amended Complaint and relevant agreements make clear that here each acted as a shipper with respect to the vessel-operating common carrier CUL.

The Commission's precedent is clear that a party may be a regulated entity for one purpose but not for another, and that the Commission's jurisdiction attaches only to the activities of that person acting in its regulated capacity. A decision illustrating the point is *Auction Block Co. v. City of Homer*, Dkt. No. 12-03, 2014 WL 5316337 (FMC 2014), *aff'd sub nom. Auction Block Co. v FMC*, 606 F. App'x 347 (9th Cir. 2015), which held that the Commission had no jurisdiction over a complaint against the City of Homer that arose out of activities at a dock where the City did not service common carriers. Although the City provided terminal facilities to common carriers at two docks and was a marine terminal operator within the Commission's jurisdiction at those docks, at the third dock that was the subject of the complaint, it did not. The Commission held that a terminal-by-terminal analysis was necessary, and that under that analysis, it did not have jurisdiction over the complaint.

The Commission noted that there was "no dispute that the City and Port operate as an MTO at the Deep Water and Pioneer Docks, and that the Commission has jurisdiction over their provision of terminal facilities at these two locations." 2014 WL 5316337 at *3. However, it found that the "issue here is whether the City and Port operate as an MTO at the Fish Dock, thereby placing their provision of terminal facilities *at that dock* under the Commission's jurisdiction." *Id.* (emphasis in original). It concluded that it did not. In support of its conclusion the Commission cited *Puerto Rico Ports Authority v. Federal Maritime Commission*, 919 F.2d 799, 802 (1st Cir. 1990), which concluded that the Puerto Rico Ports Authority was not a marine terminal operator subject to the Shipping Act in connection with its activities in the Port of Ponce, even though it imposed a service charge on common carriers at that port and even though it operated as a marine terminal operator at the ports of San Juan and Mayaguez. *See also Bridgeport and Port Jefferson Steamboat Co., et al. v. Bridgeport Port Authority*, 335 F. Supp. 2d 275, 281-282 (D. Conn. 2004)

(court finds that FMC lacks jurisdiction over a facility that exclusively services a non-common carrier).

Just as the Commission may assert jurisdiction over a marine terminal operator with respect to its common carriage terminals, but not at a terminal that does not serve common carriers, so too the Commission lacks jurisdiction over the claims against ALI and BCJ that require them to be acting as common carriers when in fact they were acting as shippers. The fact that they are licensed as NVOs and might be acting as NVOs in other contexts does not give the Commission jurisdiction over the claims here, as to which each was acting as a shipper. Counts II, III, and IV of the Amended Complaint must be dismissed on this ground.

B. Even if Counts II-IV were within the Commission's jurisdiction, the Amended Complaint contains no specific factual allegations against ALI and BCJ, much less allegations sufficient to maintain claims against them.

Count II claims that "Respondents" allegedly "pretextual" conduct in terminating the Contract constitutes an unreasonable practice by an NVO under 46 U.S.C. § 41102(c), and that "[o]n information and belief" "Respondents" have "engaged in similar actions, including use of a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment, and/or engaging in pretextual strategies for terminating or failure to perform minimum volume commitments." Count III alleges use of an unlawful service agreement without a contractually enforceable minimum quantity commitment in violation of 46 U.S.C. § 41104(a)(1), which prohibits the same conduct as 46 U.S.C. § 41102(a). Count IV alleges that essentially the same conduct alleged to violate 46 U.S.C. § 41102(a) in Count III also violates 46 U.S.C. § 41104(a)(2) because Amazon is not providing service in accordance with a filed agreement. These allegations are made collectively against Respondents Amazon, ALI, and BCJ

even though Amazon is not and cannot be a party to these counts because it is a shipper and not an NVO. *See* pp. 11-13, *supra*.

The fundamental problem with these allegations is that ALI and BCJ were not parties to the Contract, did not negotiate or impose any minimum volume commitment, and did not terminate the Contract. Amazon, which is not and cannot be subject to these claims, was party to the Contract. The Amended Complaint states no basis on which nonparties ALI and BCJ can be considered responsible for this conduct, and any contention that they were would be entirely implausible when they were simply two of many shippers named in the Work Order. And of course ALI and BCJ were not plucked out of this group of shippers to be respondents because CUL has any reason to believe that they were so involved or could be held so responsible, but simply because they hold NVO licenses and thus are the only parties against which CUL could assert these manufactured claims.

A review of the Amended Complaint in its entirety confirms the lack of any basis to bring these claims against ALI or BCJ. Although it has 88 paragraphs that extend over 22 pages, the Amended Complaint makes almost no allegations specific to ALI or BCJ, and none of those address the conduct underlying the Amended Complaint. The only allegations specifically directed against ALI and BCJ are conclusory assertions that they are (1) corporations that are also NVOs, *see* Amended Compl. ¶¶ 4-5, 7, 17, 57, 72; (2) named affiliates in the Work Order authorized to receive shipping services under it, *see id.* ¶¶ 17, 58, 74; and (3) as NVOs who violated 46 U.S.C. § 41102(c). *See id.* ¶ 51.

The Amended Complaint does not contain a single allegation that ACI and BCJ, as opposed to Amazon, took any specific action that would support the claims set forth against them in Counts II, III, and IV. Instead, CUL seeks to cover up the lack of jurisdiction over Amazon for these

claims by collectively referring to all three respondents as “Amazon” so that allegations against Amazon, the party that negotiated, entered into, administered, and terminated the contract, can somehow be attributed to ALI and BCJ. *See* Amended Compl. at 1 (“herein each a ‘Respondent’ and collectively ‘Respondents’ or ‘Amazon’”). This is an obvious subterfuge to evade the jurisdictional limits on Counts II-IV.

A clear example of this subterfuge can be seen in ¶¶ 72-74 of the Amended Complaint. Paragraph 72 contains the legal assertion that ALI and BCJ are common carriers as defined in 46 U.S.C. § 40102(7), and paragraph 74 asserts that they were “named affiliates in the Service Contract,” i.e., shippers allowed to ship under the Contract. When it comes to the assertion of specific conduct in support of the claims in paragraph 73, however, ALI and BCJ are nowhere to be found. Rather, the Amended Complaint alleges that “Respondents,” including Amazon which is not subject to the count, “negotiated and entered a Service Contract whereby they would receive lower rates and charges for ocean transportation than would otherwise apply in exchange for shipping a guaranteed minimum volume of goods with China United.”

The shift from ALI and BCJ to “Respondents” in this allegation gives away the game. CUL knows it does not have the slightest evidence or reason to believe that ALI or BCJ were engaged in this conduct. To the contrary, the Contract itself discloses that ALI and BCJ did not “enter” into it; only Amazon, a shipper not subject to the claim, did so. CUL thus seeks to bring claims against ALI and BCJ without any basis.

Nor is this a case where CUL can properly argue that it has no knowledge as to which of the three respondent entities might have engaged in the conduct it challenges, and thus has to lump them all together in its allegations and let discovery sort out who did what. CUL itself was party to all of this, and knows full well that the Contract was entered into, negotiated, administered, and

terminated by Amazon, a shipper, and not by ALI and BCJ acting as NVOs. Indeed, in the other forums in which CUL is litigating its breach of contract claims, it has expressly acknowledged as much. *See* Complaint, *China United Lines, LTD, v. Amazon.com Services LLC*, No. 1:23CV10313 (S.D.N.Y., Nov. 24, 2023) at ¶¶ 8, 13, 26.

The allegations of Counts II-IV of the Amended Complaint are wholly insufficient to state claims against ALI and BCJ, and would be subject to dismissal even if they were within the Commission’s jurisdiction.

C. Each of Counts II, III, and IV of the Amended Complaint individually do not state a claim other grounds as well.

1. Count II does not adequately allege that the contract dispute at issue occurred on a normal, customary, and continuous basis.

The Amended Complaint alleges a single instance in which the Respondents supposedly acted pretextually to terminate CUL’s Contract for cause rather than for convenience, which is the basis of the dispute between the parties. “Commission precedent is clear that ‘one prior’ violation ‘falls short of the requirement’ that [the respondent’s] challenged conduct be ‘normal, customary, and continuous.’” *Crocus Investments, LLC v. FMC*, 2022 WL 3012275, at *5 (D.C. Cir. 2022) (citing *Crocus Investments, LLC v. Marine Transp. Logistics, Inc.* No. 15-04, 2021 WL 3732849, at *11 (FMC Aug. 18, 2021)). The one-off dispute that CUL has been litigating against Amazon in various other forums as a breach of contract action for well over a year thus as a matter of law cannot be considered an unreasonable practice.

In an attempt to manufacture a claim of unreasonable “practice,” CUL alleges “[o]n information and belief” that “Respondents” have “engaged in similar actions, including use of a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment, and/or engaging in pretextual strategies for terminating or failure to perform

minimum volume commitments.” Amended Compl. ¶ 52. Because CUL makes this claim only against ALI and BCJ, allegations regarding *Amazon’s* conduct does not advance CUL’s position. It is *ALI and BCJ*, acting as NVO’s, that must have engaged in the alleged practice.

CUL does not even allege that ALI and BCJ as NVOs enter into contracts with ocean shippers, much less do so with the kind of clauses that CUL attempts to challenge here. In any event, speculation that “Respondents” “might have acted similarly regarding other clients past and present [is] insufficient to prove normal, customary, and continuous conduct.” *Hangzhou Qianwang Dress Co. v. RDD Freight Int’l Inc.*, Dkt. No. 17-02, 2020 WL 5406762, at *4 (FMC Sept. 1, 2020). CUL’s similar allegation here, which is not even specifically directed at ALI and BCJ, is equally speculative and thus insufficient to state a claim. *See* Amended Compl. ¶ 52.

2. Count II does not allege conduct relating to the receiving, handling, storing, or delivering of property.

Count II is based on “Respondents” allegedly “pretextual” conduct in terminating the Contract with CUL, and does not include any allegations concerning receiving, handling, storing, or delivering property. Nor would it make any sense for it to do so, since Amazon, the party to the Contract, was a shipper, and receiving, handling, storing, and delivery of property is generally done by carriers and marine terminal operators, not shippers.

Under the Shipping Act, an unreasonable regulation or practice must be one “relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Commission has previously ruled that this provision does not relate to the transportation of property. *See, e.g., J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419 (ALJ 1962) (claims for loss of or damage to cargo or for damages due to failure to follow routing instructions do not fall within the Act) (citing *Pilgrim Furniture Co., Inc. v. American-Hawaiian Steamship Co.*, 2 U.S.M.C. 517 (1941)); *Bills of Lading – Incorporation of Freight Charges*, 3 U.S.M.C. 111,

113 (USMC 1949) (section 17, second paragraph, is confined to the receiving, handling, storing, or delivering of property, to the exclusion of transportation).

The Commission has held that practices within the scope of 46 U.S.C. § 41102(c) can include space allocation of cargo or detention and demurrage charges. *See, e.g., MSRF, Inc. v. HMM Co*, Dkt. No. 22-20, at 21-22 (ALJ Nov. 22, 2023), *notice of decision not to review, MSRF, Inc. v. HMM Co.*, Dkt. No. 22-20, (Dec. 26, 2023). Those cases directly involve the physical handling of property. Here there is no such connection whatsoever. The dispute is over whether the Contract was properly terminated for cause or should be considered to have been terminated for convenience. CUL also alleges that the contractual terms were one-sided. None of these allegations relate to receiving, handling, storing, or delivering property. Count II is thus subject to dismissal on this independent ground as well.

3. Count III does not allege conduct of the type prohibited under 46 U.S.C. § 41104(a)(1).

As noted above in Part II, the allegations of the Amended Complaint do not meet the standard of an “unjust or unfair device or means” under 46 U.S.C. § 41102(a). Count III of the Amended Complaint alleges a violation of 46 U.S.C. § 41104(a)(1), a very similar provision that makes it unlawful for a common carrier to “allow a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means.”⁹ In *Pacific Far East Lines*, the Commission read these two sections to proscribe

⁹ Prior to the current codification section 41104(a)(1) was section 10(b)(4) of the Shipping Act of 1984 and Section 16 (second) of the Shipping Act, 1916, 46 USCA § 815, subd. 2. Again, the provision was materially identical at all of these times for purposes of this motion and precedent under the prior versions thus remains applicable.

the same conduct, and held that the “restrictive meaning” it assigned to the phrase “unjust or unfair device or means” applied to both sections “derived from their proximity to the words “false billing,” etc. used in both the introductory paragraph to Section 16 [now 41102(a)] and Section 16 second [now 41104(a)(1)].” 10 S.R.R. at 8.

Count III thus fails to state a claim for the same reason as Count I, which contains almost the identical statutory language. *See* Part II. An open dispute over the meaning of a contract fully known to both parties does not satisfy the “element of falsification, deception, fraud, or concealment” that the Commission held in *Pacific Far East Lines* is required. The same is true of the additional allegations in Count III as to the alleged defects in the Contract – that the minimum quantities are not enforceable, that the termination provision is one-sided, and the like. Putting aside the merits of those arguments (there are none), the parties openly negotiated and agreed to the terms of the contract, so there is no basis for any claim of falsification, deception, fraud, or concealment.

Count III is thus subject to dismissal on the same grounds as Count I.

4. Count IV of the Amended Complaint is an inherently contractual claim outside the Commission’s jurisdiction.

Count IV alleges a violation of 46 U.S.C. § 41104(a)(2) for Amazon’s alleged failure to operate in accordance with a filed agreement, namely the Contract between Amazon and CUL.¹⁰

The prohibitions included in 46 U.S.C. § 41102(a)(2) and its predecessor provisions in the Shipping Act¹¹ are “intended to maintain the integrity of the common carrier tariff and service

¹⁰ Section 41104(a)(2)(A) makes it unlawful for common carriers to “provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under [46 U.S.C. §§ 40501-03], unless excepted or exempted”

¹¹ Section 41104(a)(2) was previously Section 10(a)(2) of the 1984 Act.

contract systems” by requiring filing of tariffs and service contracts with the Commission for carriers operating under such contracts. *See* S. Rep. No. 61, 105th Cong., 1st Sess., at 27 (1998). They are not intended to interject the Commission in contractual disputes. Section 40502(f) referenced in 46 U.S.C. § 40502(f), expressly provides that “[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” The “failure to operate in accordance with a filed agreement” prohibited by 46 U.S.C. § 41104(a)(2) cannot encompass a mere failure to abide by the terms of a filed service contract, or 46 U.S.C. § 40502(f) would be read entirely out of the Act.

The Commission has held that for 46 U.S.C. § 40502(f) “to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event.” *Cargo One, Inc. v. Cosco Container Lines Co. Ltd*, Dkt. No. 99-24, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000). Claims “premised on the obligation to meet one’s contract commitments” are thus “outside its jurisdiction,” even if they also might state Shipping Act claims. *Id.*

Cargo One held that absent very unusual circumstances, any claim that a carrier violated 46 U.S.C. § 41104(a)(2) is the equivalent of a breach of contract claim and must be dismissed. *Id.* Those unusual circumstances are necessary to “rebut the presumption that the claim is no more than a simple contract breach claim.” *Id.* Respondents have not located any prior case where the Commission has found a violation of paragraph 41104(a)(2) based on an alleged failure to comply with the terms of a service contract. Such claims are simply breach of contract claims that 46 U.S.C. § 40502(f) precludes the Commission from hearing.

The essentially contractual nature of Count IV, and indeed of CUL's entire FMC action, is reinforced by CUL's filing of separate actions in a New York federal court and in a commercial arbitration for breach of contract. CUL knows full well that its claims are contractual in nature. This is also confirmed by the allegations supporting the claims. The allegations that the contracts are one-sided are essentially contractual claims of non-mutuality of obligation and unconscionability. *See* Amended Compl. ¶ 76. The unreasonable "practice" alleged is simply an alleged practice of pretextually breaching contractual obligations. *See id.* Pleading entirely unsupported allegations of other breaches of contract as a "practice" is a transparent attempt to circumvent the jurisdictional limitation on the Commission's authority to hear claims that are inherently breach of contract claims.

CUL's essential claim is that Amazon should have terminated the Contract for convenience, rather than for cause as Amazon did after discovering evidence that CUL breached the Contract by using Amazon's trade name without its consent (and indeed after that consent had at least twice been withheld). These are claims premised on Amazon's asserted noncompliance with its contractual obligations in terminating for cause, and are outside the Commission's jurisdiction.

IV. COUNT V DOES NOT STATE A CLAIM BECAUSE IT DOES NOT ALLEGE A VIOLATION OF THE SHIPPING ACT AND THE REGULATION ON WHICH IT IS BASED IS INAPPLICABLE ON ITS FACE

The Shipping Act allows a person to file "a sworn complaint alleging a violation of [the Act], except section 41307(b)(1)." 46 U.S.C. § 41301(a). Count V does not allege a violation of the Act, and does not even refer to any provision of the Act. It is thus not a proper claim in this proceeding.

Count V purports to be based on a regulation entitled “Amendment, correction, cancellation, and electronic transmission errors.” Amended Compl. ¶ 20. Count V alleges that Amazon’s refusal to book or tender cargo as required under the contractual minimum quantity commitments after the termination for cause constituted a “cancellation” of the Contract under 46 CFR 530.10(a)(3). Section 530.10(a)(3) defines a “cancellation” as “an event which is unanticipated by the service contract, in liquidated damages or otherwise, and is due to the failure of the shipper party to tender minimum cargo as set forth in the contract, unless such tender was made impossible by an action of the carrier party.” *Id.* ¶¶ 81. Count V further asserts that after terminating the contract, Amazon “did not enter or file with the Commission a mutually-agreed amendment of the Service Contract in accordance with § 530.10(a) to provide for termination.” *Id.* ¶ 82.

Even if it were the proper basis for a claim, which it is not, the regulation cited in Count V is inapplicable on its face. It defines “cancellation” as “an event which is unanticipated by the service contract, in liquidated damages or otherwise.” Here the cancellation, whether for convenience or for cause, was expressly negotiated by the parties and memorialized in the Contract, including the liquidated damages provided for terminations for convenience. *See* Attach. A, Contract, Section 5(2)-(3); Attach. C, Work Order, Schedule 3, Section 5(4). Indeed, the termination for convenience and for cause termination provisions and liquidated damages remedy were anticipated, negotiated, and agreed to by the parties. *See* Interim Final Rule, Service Contracts Subject to the Shipping Act of 1984, 64 Fed. Reg. 11186, 11203 (noting that it would be an “unlikely event that the service contract is canceled as described in § 530.10... and there is no provision for such cancellation in the terms of the contract itself”).

In addition, the amount of damages is established by the Contract, so there is no need to fill any void in terms of how to handle the cancellation by re-rating the cargo. *See id.* at 11200 (“If there is a liquidated damages, or another fall-back rate provision, there will be no need to re-rate the cargo which has already been carried.”). Likewise, there was no need to file an amendment of the Contract with the Commission, since Amazon proceeded under the terms of the agreement as written. *See id.* at 11198 (“If the termination occurs as anticipated by the service contract we agree . . . that there is no need for additional notice to the Commission.”).

CONCLUSION

The Amended Complaint should be dismissed in its entirety.

Respectfully submitted,

_____/ s_ John Longstreth_____
Michael F. Scanlon
John Longstreth
Christiana K. Goff
K&L GATES LLP
1601 K Street, N.W.
Washington, DC 20006
(202) 778-9000
(202) 778-9100 (fax)
michael.scanlon@klgates.com
john.longstreth@klgates.com
christi.goff@klgates.com

Counsel for Respondents

March 26, 2025

CERTIFICATE OF SERVICE

I certify that on this 31st day of March, 2025, the full aforesaid Motion to Dismiss, and a public version of the Attachments hereto, have been filed with the Secretary for the public docket, with a copy to judges@fmc.gov and served on the following counsel of record, as provided by the Initial Order in this proceeding.

Vincent J. Foley
HOLLAND & KNIGHT LLP
787 7th Street
New York, NY 10019
(212) 513-3357
vincent.foley@hklaw.com
Counsel to Complainant

_____/ s / John Longstreth _____
John Longstreth